LICENCE TO FILL?

THE ALLEGATIONS RANGE FROM TWEAKING THE POLICY TO FAVOUR A FEW, AND ACCEPTING RETURN OF FAVOUR. SISODIA BLAMES FORMER L-G.

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A SHORT-LIVED POLICY

- On Nov. 17, 2021, the AAP government rolls out a new excise policy, projects a revenue hike of Rs 9,500 crore. Govt exits liquor trade, leaves it to private players
- 849 liquor stores open in Delhi across 32 zones
- Nine months later, the government reverts to old excise policy for a period of six months, starting Sept. 1.



WHY WAS IT SCRAPPED?

- A July 31 cabinet note admits that despite high sales the UT lost revenue as retailers/wholesalers exited the business
- In Q1 of FY23, only Rs 1,485 crore was realised, 37.51 per cent below the budget estimates, revenue decline of Rs 193.95 crore per month
- Only 468 shops were operational but no let up in sales as the slack is picked up by the remaining licence holders. Windfall gains for them.



WHY A CBI PROBE

- L-G V.K. Saxena orders CBI probe based on a vigilance report by Delhi chief secretary Naresh Kumar. The report, submitted on July 8, accuses Deputy CM Manish Sisodia, who heads the excise department, of providing undue benefits in lieu of "kickbacks" and "commissions"
- It detailed how licenses were grabbed through proxy ownerships. Kumar asked Delhi police's Economic Offences Wing to probe alleged cartelisation and monopolies.



WHAT ARE THE ALLEGED MALPRACTICES?

- Vigilance report accuses **Sisodia** of making changes to the excise policy without the approval of L-G and the cabinet. The decisions that were red-flagged include: arbitrary waiver of licence fee (Rs 144.36 cr.) citing Covid; refund of Rs 30 cr. to Airport Zone bidder who failed to get NOC; revised excise rates for foreign liquor and waiving of Rs 50 import pass fee per case of beer. The last made foreign liquor cheaper for retailers, but caused loss of revenue to state exchequer.
- Policy extended twice—from Apr. 1 (2022) to May 31 and from Jun. 1 to Jul. 31 without approval of cabinet, L-G. No justification given for extensions. Sisodia tried to legalise decisions by getting cabinet nod post-facto on Jul. 14, violating rules.



WHAT CBI SAYS

- The CBI FIR claims Sisodia, then excise commissioner Arva Gopi Krishna and his juniors took unapproved decisions "with an intention to extend undue favours to the licensees".
- Wholesalers showed discounts to retail vendors and used the funds to bribe the public servants, keeping their books clean with false entries.
- Three close Sisodia associates—Amit Arora, Dinesh Arora and Arjun Pandey—actively involved in managing and diverting the bribe money collected from wholesalers.
- Sameer Mahendru, owner of Inda Spirits, Sunny Marwah of Mahadev Liquors, among those who relied on this network to transfer bribes.



WHAT IS SISODIA'S DEFENCE?

Sisodia alleges that **Anil Baijal**, then L-G, suddenly changed his stance over having liquor vends in unauthorised areas on November 15, two days before the new policy was to come into effect, so as to cause undue favour to certain retailers. "As a result of this change of stand, the shops could not be opened in unauthorised areas, leading to a loss of revenue of thousands of crores.... On the other hand, the shops that opened witnessed huge income," said Sisodia, who claimed on August 6 he had written to the CBI demanding a probe against Baijal.



WHAT DID THE FORMER L-G DO?

When the cabinet decision to implement the new excise policy was sent to Baijal for his approval, he made several observations and advised the government to effect certain changes. The observations he made included having eligibility criteria for different kinds of licences to rule out the possibility of monopoly and cartelisation. On November 5, the Delhi cabinet approved a proposal allowing retail liquor shops to open in areas where sale of liquor is not permitted, saying DDA/MCD could later identify suitable locations in these non-conforming areas. It was this proposal that Baijal had objected to on November 15, two days before the rolling out of the excise policy. On December 10, 2021, a committee set up by Baijal submitted its report declining permission to liquor vends in 67 non-conforming wards.